Pricing and Markdown Rules

Retail Pricing and Markdown Policy, document 1 of 3, version 1.1

Example policy for the demo project. All amounts are in SEK. Price recommendations are advice to the pricing team; no price is changed automatically.

1. Purpose and scope

P-1.1 Purpose

This policy sets the rules for recommending price reductions on stocked retail items. Its aims are to free up capital tied in slow stock while protecting margin and avoiding price wars.

P-1.2 Scope

Applies to all departments: Electronics, Furniture, Outdoor, Home and Sports. Items from other departments follow the default rules.

2. Margin protection

P-2.1 Minimum markup over cost

Applies to: all departments. A recommended price must never be lower than the item cost multiplied by one plus the minimum markup. Minimum markup by department: Electronics 10%, Furniture 25%, Outdoor 20%, Home 20%, Sports 20%. Any other department 15%.

P-2.2 Items priced below the minimum

If the current price is already below the minimum, the price is not raised automatically. The item is labelled REVIEW and the pricing manager decides.

3. Size and form of price changes

P-3.1 Maximum markdown per run

No price may fall by more than 25% in a single run. Deeper reductions are reached over several runs.

P-3.2 Minimum step

Price changes smaller than 1% are not made.

P-3.3 Price endings

Reduced prices end in 9. Prices are rounded up to the next ending in 9, never down, and never above the current price.

P-3.4 No price increases

This process only holds or lowers prices. It never recommends a price increase.

6. Demand and stock

P-6.1 Fast movers

Items with 8 weeks of cover or less and 60 days or less in stock keep their current price.

P-6.2 Stock pressure

Markdown depth rises with days in stock and with weeks of cover. The combined stock-pressure markdown is never above 30%.

7. Competition

P-7.1 Undercutting

Match the cheapest credible competitor by pricing 2% below it, and only when that competitor is cheaper than the current price.

P-7.2 Outlier competitor prices

Competitor prices below 50% of our current price are ignored as outliers.

P-7.3 Missing competitor data

Stock-pressure markdowns still apply when no competitor price is available, and the report flags the missing data.